

A Second Residency as Plan B

Panama's Visa Menu, and Why It Pairs Well With a Colombian Life

A second residency isn't an escape hatch, it's leverage: options without giving anything up. This guide walks through why Panama specifically comes up again and again for people building a life in or around Colombia, what its main visa routes actually require, and how to think about which one fits.

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General information only, not legal, tax, or financial advice. See the closing note.

SECTION 01

Leverage, Not an Escape Hatch

Residency and citizenship get used interchangeably in casual conversation, and they should not be. Citizenship is close to permanent, usually takes years to acquire, and asks a great deal of you along the way. Legal residency in a second country is a different tool entirely: often attainable within months, revocable if you stop meeting its conditions, and useful specifically because it hands you options without asking you to give anything up.

For the kind of life this guide is written for, built in or around Colombia, Panama is the jurisdiction that comes up again and again, and it earns that reputation on fundamentals rather than marketing. It runs on a fully dollarized economy, is a genuinely banked financial centre with real trade volume behind it, and its tax system is territorial, so income earned from clients or investments outside the country generally sits outside its tax net entirely, for individuals and Panamanian companies alike. Panama sits roughly ninety minutes by air from Medellín, close enough to hold residency, banking, and a proper tax structure in a territorial jurisdiction while still spending the majority of your actual life in Colombia.

SECTION 02

Panama's Residency Menu

Panama's residency menu has several entry points, and picking the right one depends entirely on your own situation, not on which route sounds most impressive:

Friendly Nations. For citizens of fifty-plus eligible countries, including the United States, Canada, the United Kingdom, and most of Western Europe, requiring a genuine economic tie to Panama, typically a qualifying property purchase, a fixed deposit, or formal employment. It begins as temporary residency and converts to permanent status after a couple of years. Pairs cleanly with the territorial tax system, and the bar for substance is relatively accessible.

Qualified Investor. Asks for a larger capital commitment, in real estate, securities, or a time deposit, in exchange for permanent residency essentially from the start. It is the fastest and cleanest path for anyone with the capital who wants certainty over speed.

Pensionado. For applicants with qualifying pension or retirement income, typically around USD \$1,000/month minimum plus modest additions per dependant. It is the most accessible permanent residency programme in the region for retirees, carries genuine lifestyle benefits including legally guaranteed discounts on flights and medical care, and has no requirement to spend specific time in-country.

Foreign Professional. Suits someone with a formal job offer or a recognized professional credential tying them to a Panamanian employer or activity.

Remote-worker route. Built specifically for people earning foreign income while based in Panama without local employment. It is a shorter-term permit rather than a path to permanent residency, but it lets you establish a genuine, documented presence while deciding whether a longer route makes sense later.

Route	Best for	Path to permanent status
Friendly Nations	Citizens of ~50+ eligible countries with a Panama economic tie	~2 years
Qualified Investor	Larger capital commitment, wants certainty over speed	Immediate
Pensionado	Retirees with a qualifying pension	Immediate, no time-in-country requirement
Remote-worker	Foreign-income earners not ready to commit long-term	Short-term permit only

Illustrative only. Program terms, thresholds, and processing times change; confirm current requirements before applying.

SECTION 03

Managing Two Countries at Once

None of Panama's routes require you to actually live there full time to keep them active, and that detail is what makes the pairing work for someone whose real life is built around Medellín rather than Panama City. This is not a loophole. It is simply making deliberate use of the fact that two neighboring countries take opposite approaches to taxing income, and building your life to sit legitimately on the side of that difference that suits you, without giving up the Colombian life you actually want.

Where this goes wrong is when people treat a second residency as a magic word rather than as a foundation. A Panamanian cédula sitting in a drawer does nothing by itself if you are still spending two hundred and fifty days a year in Colombia, invoicing from a personal account, and filing nothing anywhere. The residency is the base. What gets built on top of it, whether you need a company at all, and how you protect what you accumulate, is what actually decides the outcome.

The part people underestimate most is the bookkeeping. Holding a second residency does nothing for you if you cannot demonstrate, cleanly and in real time, how many days you actually spent in each country in a given year. Two countries means two clocks, tracked from day one, not reconstructed later from passport stamps.

SECTION 04

Getting This Looked At Properly

Everything in this guide is general information, meant to help you recognize the moments that actually matter. It is not legal, tax, or financial advice, and nothing here should be read as a recommendation for your specific situation. Rules, thresholds, and program terms mentioned here can and do change, and the right answer for you depends on facts this guide has no way of knowing.

If you're weighing whether a second residency actually fits your situation, the residency choice usually needs to be made alongside the tax and structuring picture, not after it, since the two shape each other.

Interested in speaking with a professional who can guide you on this?

Click below to speak with Catalina, tell her you'd like to speak with someone about setting up a second residency in Panama.

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